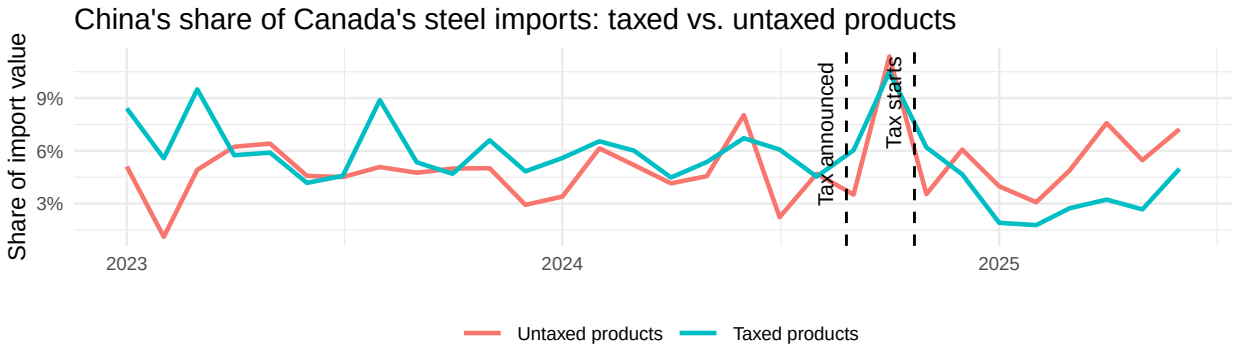
Did Canada's 2024 Tariff on Chinese Steel Change Where Canada Buys Its Steel?

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The question. In October 2024, Canada added a 25% tax on steel from China. When one supplier becomes more expensive, buyers tend to switch to others. Did China's share of Canada's steel imports fall, and was the tax the reason, rather than seasons, price changes, long-term trends or the trade dispute with the United States that began in 2025?

What I did. I used Statistics Canada's monthly import records for 167 types of steel products from January 2023 to August 2026. The tax covered 130 of these products and not the other 37. The key test compares how China's share changed for taxed products with how it changed for untaxed products over the same months: if the tax was responsible, the drop should show up mainly in the taxed group. I also compared the same season one year apart, measured imports by weight as well as value, and checked whether the two groups were already moving apart before the tax.



What I found.

- **China's share fell.** It dropped from 5.9% before the tax to 3.7% in the four months after it started. The drop also shows up by weight and is not a normal seasonal pattern. Imports from China themselves fell by about 39% compared with the same winter a year earlier.
- **The drop was mainly in taxed products.** Before the tax, China's shares in the two groups moved together. Afterwards, its share of taxed products fell to about 2-3%, while its share of untaxed products returned to its usual range.
- **The size of the effect: about 2 percentage points.** China's share of taxed products fell by about 1.9 points more than its share of untaxed products, roughly a third of its earlier share. Including months up to June 2025 gives a larger drop of about 3.1 points, but that period overlaps with the U.S. dispute.
- **Who gained.** Comparing taxed and untaxed products for each supplier, Japan is the most likely gainer, though the evidence is not conclusive. For the United States and smaller suppliers, the data are too noisy to tell.

How sure can we be? Only four months separate the tax from the 2025 trade dispute, so the clearest result rests on very little data. Depending on how the uncertainty is measured, it falls just on one side or the other of the usual line between a real effect and chance, and a comparison that keeps the 167 products separate finds that it could well be chance. The evidence is suggestive rather than conclusive. A smaller Chinese share also does not by itself show that the tax was good for Canada.

Full report and R code: https://github.com/betterandy24/canada-steel-surtax